SUMMARY · MK 3 MARKETING MANAGEMENT · WEEK 7

# Marketing Mix — Product: Levels, New Product Development & Life Cycle

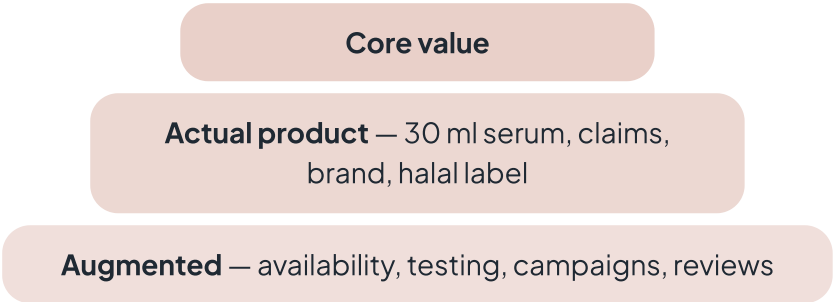
After STP, the marketing mix begins with product: three product levels, classifications, individual-line-mix decisions, new-product strategy and the eight-stage NPD process, and the product life cycle. Case: L'Oréal Indonesia — Garnier squeezed by faster local and China-made brands; defend, build or buy?

## Material

### 1 Products and their three levels

Offers blend goods and services, increasingly experiences; "products" include services, organizations, persons, places, ideas. Levels: **core customer value** (Harley: freedom, power, authenticity), **actual product** (the bike, name, sound), **augmented product** (warranty, service, HOG community). Features are easily copied; lasting differentiation often sits in augmentation and core value.

### 2 The three product levels as rings Deep dive




Local rivals attack the actual level; trust and service at the augmented level are harder to copy.

## 3 Product classifications

Consumer products: **convenience** (frequent, cheap — wide distribution), **shopping** (compared — selective distribution), **specialty** (strong brand preference — exclusive distribution, high price), **unsought** (heavy selling). Industrial: materials & parts, capital items, supplies & services.

## 4 Individual, line and mix decisions

Individual decisions: attributes, branding, packaging, labeling, support services. Product lines: length; **line filling** (within the current range) vs **line stretching** (beyond it — down, up or both). Product mix dimensions: width (lines), length (total items), depth (versions), consistency. Timberland: width 4, length 14.

## 5 New product development (NPD)

New products come by **acquisition** or **internal development**; ~60% of new CPG products fail. Eight stages: idea generation → screening → concept development & testing → marketing strategy → business analysis → product development → test marketing → commercialization.

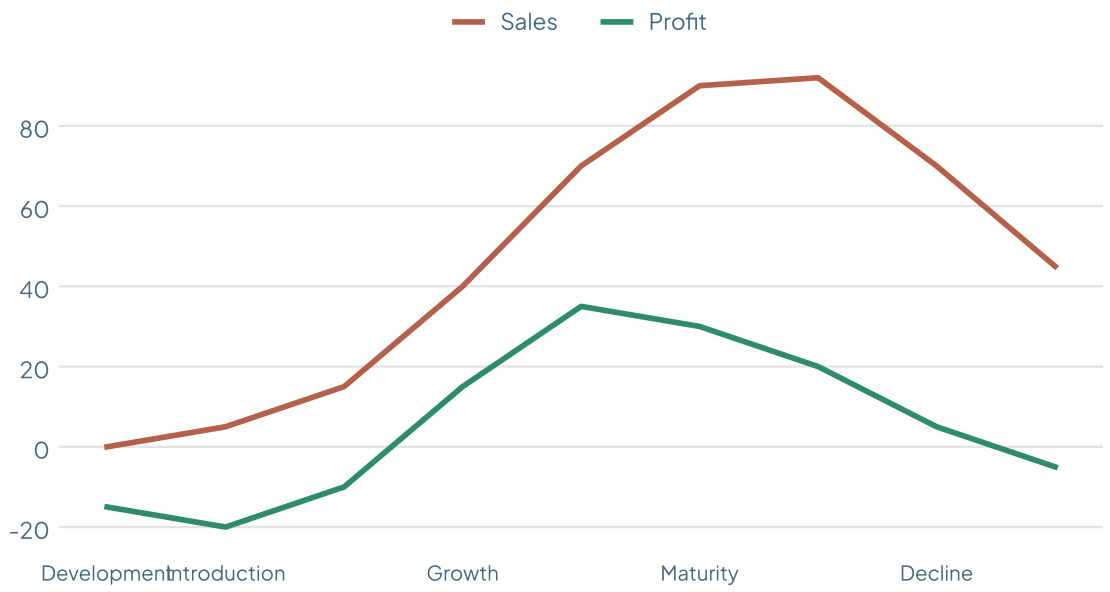
## 6 The product life cycle (PLC)

PLC: development → introduction (awareness, trial) → growth (improve, extend, widen distribution) → maturity (modify market, product or mix) → decline (maintain, harvest, drop). Not all products follow every stage; PLC can describe a class, a form or a brand; styles, fashions and fads have special patterns.

## 7 The PLC curve: sales and profit don't move together

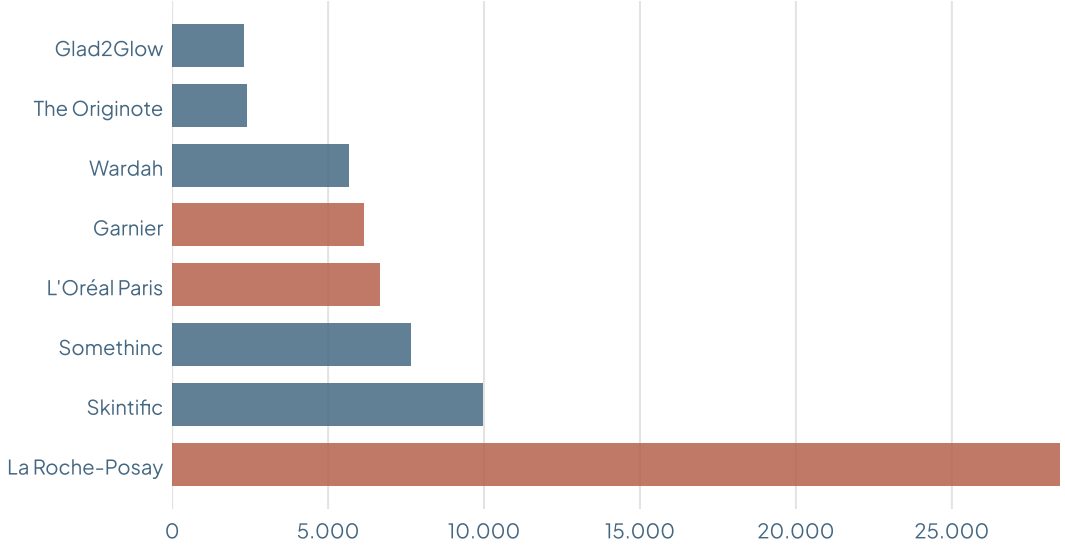
Deep dive

**Product life cycle (conceptual)**



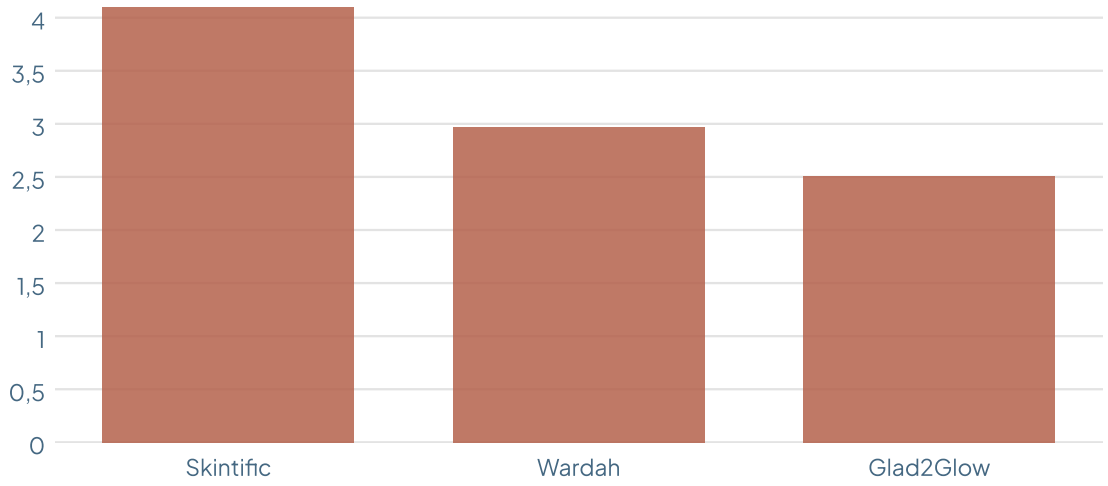

Profit peaks before sales; brightening serums are in maturity.

**Brightening serum price per ml (IDR)**




Coloured bars = L'Oréal Group brands.

**Top skincare shares on Shopee, Q1 2025 (%)**




Garnier ranked 10th.

≡ **Garnier 15 ml**

≈ IDR 92,000 at list per ml; ≈ IDR 60,700 at the 34% discount.

## Key takeaways

1. Product levels: core value, actual, augmented.
2. Convenience, shopping, specialty, unsought — drive distribution and price.
3. Line filling (within range) vs stretching (beyond range).
4. Mix: width, length, depth, consistency.
5. New products: acquire vs develop; eight NPD stages; ~60% fail.
6. PLC: introduction → growth → maturity → decline; in maturity modify market, product or mix.
7. When everyone meets a requirement (e.g. halal), a PoD becomes a PoP.

# Case studies

Case & worked answers

## L'Oréal in Indonesia: managing a global portfolio in a local-brand market — worked answers

**Situation:** ~IDR 250bn (illustrative) for 2027–2029; L'Oréal is strong offline but online Garnier ranks 10th behind Skintific, Wardah and Glad2Glow (China-made local registrations); La Roche-Posay and CeraVe are rising; halal is mandatory from Oct 2026.

**Q1:** Garnier serum core = brighter skin; actual = 30 ml, "30× Vit C", halal; augmented = availability, testing, campaigns. Skintific attacks the actual level; L'Oréal can still differentiate at core and augmented levels (research trust, dermatologist endorsement).

**Q2:** Garnier serum = shopping; micellar water = convenience; LRP serum ≈ specialty — implying wide, widest and selective distribution respectively.

**Q3:** 15 ml at list price per ml ≈ IDR 92,000; at the 34% sale price ≈ IDR 60,700 — Option A's IDR 59,900 makes the discount permanent. Mandatory halal turns L'Oréal's PoD into a category PoP.

**Q4:** width 4 divisions (13 brands); Consumer Products sample ~7 items. The 15 ml pack is downward line stretching; estimate cannibalization through marketplace test cells.

**Q5:** Glycolic Bright runs all eight stages over decades; local challengers compress them via trends, contract manufacturing and live-commerce. B builds capability but is slow; C is fast but China's acquisitions failed — hence minority stakes.

**Q6:** brightening serums = maturity (modify the product plus mix); barrier repair = growth; sunscreen = growth/early maturity.

**Q7 example:** ~60bn lean A, ~150bn B on dermatological/barrier repair with local halal production, ~40bn C as a minority stake; success measure = online skincare share (back to top 5).

## Worked examples

Problem 1 · Easy · **Harga per ml**

Serum A: 20 ml Rp150.000. Serum B: 30 ml Rp199.000. Mana yang lebih murah per ml, dan berapa harga 15 ml jika mengikuti harga per ml serum B?

1. A: 150.000 ÷ 20 = Rp7.500 per ml.
2. B: 199.000 ÷ 30 = Rp6.633 per ml → lebih murah.
3. 15 ml × 6.633 = Rp99.500.

**Answer:** Serum B lebih murah per ml (Rp6.633). Kemasan 15 ml setara ± Rp99.500; harga di bawah itu berarti "diskon" per ml.

## Practice questions

Try answering first. The answer key is below each question.

**1. Once halal is mandatory, the halal label shifts from PoD to…**

A. Stronger PoD
B. PoP
C. Core value
D. Augmented

**Answer: B.** Everyone has it.

**2. A 15 ml pack priced below Garnier's lowest price point is…**

A. Line filling
B. Downward stretching
C. Upward stretching
D. Diversification

**Answer: B.** Below the current range.

**3. In maturity, profit usually…**

A. Grows fastest
B. Is squeezed by competition
C. Negative
D. Unchanged

**Answer: B.** Profit peaks before sales.

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**4. A dermatologist-recommended LRP serum is closest to a…**

A. Convenience
B. Shopping
C. Specialty
D. Unsought

**Answer: C.** Strong preference, selective distribution.

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**5. The NPD stage testing in a real market before full launch is…**

A. Screening
B. Business analysis
C. Test marketing
D. Commercialisation

**Answer: C.** E.g., a Shopee-exclusive launch.

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### Sources

- -P3MD- Week 7-MK3_Student.pdf
- L'Oréal in Indonesia (SBM-ITB case)
- Kotler & Armstrong bab 8-9